

FINANCING DISPLACEMENT GOVERNANCE

From Fiscal Diagnosis to Sustainable Inclusion

Samuel Cheung | Founder & Director, Displacement Policy

ABOUT THIS SERIES

Governing Displacement is a policy brief series examining displacement governance at the intersection of institutional design and development finance, with Southeast Asia as its primary analytical ground. Building on the author's forthcoming chapter in Khemanitthathai, Banerjee, and Middleton (eds.), *Displacement in Southeast Asia under Neo-geopolitics* (Palgrave Macmillan, forthcoming), the series develops the displacement continuum as a governance diagnostic and sustainable inclusion as a governance response, applying these ideas to development-induced displacement, adaptive social protection and fiscal architecture. As the capstone to the first five briefs, this brief extends that framework to the financing requirements of sustainable inclusion: what public systems need to sustain displacement-related functions, and what finance must do to make that possible.

The Problem

Governing displacement sustainably, whether in refugee-hosting, internal displacement or climate and disaster-displacement settings, requires more than mobilizing finance. It requires displacement-related functions to be embedded, where appropriate, within ordinary public systems, and the fiscal architecture through which those functions are financed to be capable of sustaining them. The challenge is to ensure that institutions, budgets and financing arrangements remain responsive as people move and displacement protracts over time.

The preceding briefs established the foundations for this approach. The displacement continuum identified the categorical, territorial and temporal fault lines across which people can fall between institutions and systems, while sustainable inclusion proposed embedding displacement-related functions within ordinary institutions. [Briefs 2](#) and [3](#) applied this logic to infrastructure finance and adaptive social protection, before [Brief 4](#) identified a problem at the heart of sustainable displacement governance: displacement-related functions can become recurrent obligations despite being financed as temporary or exceptional, while the fiscal systems expected to sustain them may be reluctant or unable to absorb open-ended commitments. This brief takes the next step:

identifying the fiscal and institutional requirements for sustaining those functions, and what finance must do to meet them over time. Development institutions increasingly recognize displacement within ordinary country and sector frameworks. Development finance in refugee-hosting settings has supported inclusion through national and local systems alongside international financing; World Bank work on internal displacement emphasizes ordinary development operations, institutional and policy reform, political economy and local authorities; and ADB and IDMC guidance seeks to integrate disaster and climate displacement into development planning and finance.

The missing link is how these approaches translate into financing requirements for sustainable inclusion. Understanding displacement risks, affected populations and pressures on sectors and places does not by itself determine how public systems should be financed to respond. Fiscal and institutional diagnosis is needed to identify how those pressures affect public functions and responsibilities, where the resulting constraints lie, and what finance must do in response. This brief refers to that task—translating the requirements of sustainable inclusion into financing strategy—as financing displacement governance.

The Financing Requirements of Sustainable Inclusion

Sustainable inclusion creates different requirements for finance depending on how displacement affects public systems and where the resulting constraints lie. Existing work on forced displacement and social protection examines the capacity of national systems to include displaced populations, the fiscal and political-economy conditions affecting inclusion, and the relationship between humanitarian and state financing. Development guidance increasingly calls for displacement-related provision to be costed into national plans, for financing to support inclusion through state systems, and for preparedness arrangements to anticipate future displacement ([ODI, 2022](#); [OECD, 2024](#)).

A fiscal and institutional diagnosis brings these considerations together around the public functions affected by displacement. It asks which institutions are expected to respond, where expenditure and fiscal risk fall, whether resources follow populations across jurisdictions, and whether ordinary systems remain accessible. This requires looking beyond dedicated displacement budgets: costs may fall across sector ministries, local governments and public providers, or be borne outside public accounts by humanitarian actors, households and communities. Formal responsibility and actual fiscal incidence may therefore differ.

Similar funding needs can reflect different constraints. A receiving municipality may face increased service demand while fiscal transfers remain insensitive to population change; a social protection system may have resources but exclude displaced populations through eligibility or administrative rules; another system may function adequately in normal periods but lack pre-arranged finance for future shocks. Social protection experience illustrates this variation: fiscal constraints can limit inclusion in state systems, while international finance can enable

it; documentation and administrative barriers can constrain access independently of fiscal capacity.

Climate and disaster displacement makes the temporal and territorial dimensions particularly visible. Research on planned relocation shows financing concentrated on land, housing and infrastructure, while integration in receiving locations can require continuing services, livelihoods and other support beyond the initial relocation ([PDD & UNU-EHS, 2025](#)). Recent ADB work in the Pacific similarly argues for moving from reactive relocation responses towards an adaptation and development approach that connects relocation with services, infrastructure and longer-term development ([ADB, 2026](#)). The financing requirement therefore extends from the initial intervention to the public systems and jurisdictions expected to absorb the effects of population movement over time.

The nature of the constraint also varies across displacement settings. Refugee inclusion may depend on international finance even where services are delivered through national systems; conflict-induced internal displacement may combine formal state responsibility with weak capacity, exclusion or contested territorial control; and disaster displacement may expose mismatches between emergency finance, receiving-area pressures and recurrent expenditure. Fiscal diagnosis therefore asks not simply how much finance is needed, but what prevents the relevant public function from being sustained: fiscal capacity, resource allocation, institutional rules, exposure to future shocks, or unresolved responsibility for recurrent expenditure.

The financing requirements of sustainable inclusion follow from that diagnosis. Finance may need to release fiscal space, preserve it against future shocks, adapt institutions and systems, or sustain displacement-related expenditure over time. These four functions provide the bridge from fiscal diagnosis to financing design.

A Functional Approach to Financing Displacement Governance

The financing requirements identified through fiscal and institutional diagnosis can be grouped into four recurring functions: releasing fiscal space, preserving fiscal space, enabling institutional adaptation, and sustaining displacement-related functions over time. These are not mutually exclusive categories or a fixed taxonomy. Several may be required in the same setting, drawing on different combinations of domestic and international finance.

Function is distinct from financing instrument. Once the relevant function is identified, financing design involves choices about modality—including investment, policy-based, results-based or contingent finance—the terms on which resources are provided, the institution or jurisdiction at which fiscal capacity is required, and the period over which finance must operate. The same instrument can therefore perform different functions depending on its design and institutional setting.

1. Releasing fiscal space

Displacement can generate additional expenditure without corresponding fiscal capacity reaching the institution expected to respond. The constraint may arise nationally through debt service, fiscal consolidation or expenditure ceilings, but also within a sector ministry or local government. Population movement, for example, can increase demand for municipal services without a corresponding adjustment in intergovernmental transfers. The relevant question is therefore not only whether fiscal space exists nationally, but whether usable fiscal capacity reaches where the displacement-related function must be performed.

This distinction has implications for financing design. Grants, concessional resources or budget support may address broader fiscal constraints, while sector or subnational financing may be required where the constraint lies within a particular function or jurisdiction. The form of

expenditure also matters: capital investment will not resolve a recurrent staffing constraint, just as sovereign debt relief will not necessarily expand expenditure available to the responsible institution. Emerging proposals for humanitarian debt swaps illustrate the distinction. Such instruments seek to release fiscal space by reducing or refinancing sovereign obligations and directing resulting savings towards humanitarian or social expenditure ([IRC, 2026](#)). Their relevance to displacement governance depends not only on the fiscal space created, but on whether those resources can be translated into expenditure that addresses the underlying displacement-related constraint.

2. Preserving fiscal space

Displacement can place otherwise viable fiscal arrangements under pressure as populations, expenditure and sources of financing change. Caseloads may increase, populations may move between jurisdictions, revenues may contract as expenditure rises, or external financing may decline while demand on public systems persists. The financing problem is therefore not always to create additional fiscal capacity, but to preserve the capacity of institutions and systems to respond as conditions change.

Disaster-risk finance provides an established precedent for this function. UNDRR's framework for financing shock absorption includes reserve and disaster funds, contingency financing, pre-arranged credit, adaptive social protection and risk-transfer instruments ([UNDRR, 2026](#)). [Brief 3](#) similarly showed how adaptive social protection can enable existing systems to expand as needs change. For displacement, however, fiscal pressure may be territorial as well as temporal. Population movement can increase expenditure in receiving jurisdictions before historically or census-based transfers adjust, so adequate fiscal capacity at the national level may coexist with significant subnational fiscal stress. Preserving fiscal space may therefore require financing arrangements that respond across both time and territory, without creating

incentives through allocation or trigger mechanisms to constrain registration or eligibility in order to limit fiscal exposure.

3. Enabling institutional adaptation

Displacement can expose institutional constraints that additional fiscal capacity alone will not resolve. Documentation or residence requirements may restrict access to health, education or social protection; benefits may not be portable; or local authorities may lack mandates to serve populations actually present. Making existing systems displacement-responsive may therefore require changes to eligibility, documentation, portability, registries and payment systems, administrative procedures, public financial management or intergovernmental arrangements. Such changes may require considerably less expenditure than expanding physical capacity, while being decisive in determining whether additional resources translate into access and outcomes.

The nature of the institutional constraint has direct implications for financing design. Where laws, policies or mandates prevent inclusion, policy-based financing may support reform; where implementation and institutional performance are central, results-based approaches may be more relevant; technical assistance can support administrative and system changes; and investment finance may remain necessary where physical or operational capacity must also expand. These modalities are not necessarily substitutes: institutional adaptation may require finance to support reform, implementation and capacity simultaneously.

Emerging reform-linked approaches illustrate this logic. CoAction Global's proposed [Global Facility for Economic Inclusion](#) would link financing to measurable legal and policy reforms affecting refugee inclusion, with payments tied to verified results. Its relevance lies in the underlying financing logic: supporting changes

in how existing systems operate, rather than simply financing more of those systems.

4. Sustaining displacement-related functions

Displacement responses often combine transitional expenditure with costs that become recurrent or structurally embedded in public systems. Infrastructure, relocation or administrative adaptation may be time-limited, while services, staffing, operations and maintenance continue beyond the initial intervention. Other expenditure may vary with caseload or future shocks. The financing question is therefore whether functions and expenditure that persist have a credible financing pathway over time.

That pathway may combine national budgets, medium-term expenditure frameworks and formula-based transfers with multi-year concessional support, policy-based finance and continuing international cost-sharing. Integrating displacement-related functions into ordinary public systems does not imply that associated expenditure should progressively become wholly domestic. The Global Compact on Refugees combines inclusion in national education and health systems with international responsibility-sharing, while the World Bank's Window for Host Communities and Refugees provides concessional resources to governments supporting refugees through national and local systems. A similar principle may apply to communities relocated because of climate risk, where services can become part of ordinary public provision while development partners continue to contribute to their financing (ADB, 2026). Institutional responsibility for delivery and fiscal responsibility for financing are related but distinct.

Nor will ordinary state systems always provide the appropriate institutional pathway. In conflict-affected settings, multi-year external finance or delivery through international partners may remain necessary where public institutions lack territorial reach or capacity.

Where state authority is contested or state-based delivery creates protection concerns, humanitarian or other non-state delivery may remain necessary while those constraints persist.

Taken together, the four functions shift the financing question from which source or instrument is available to what finance needs to accomplish in response to the diagnosed constraint. They provide the bridge from the financing requirements of sustainable inclusion to the sources, instruments, terms and results through which those requirements can be addressed.

From Diagnosis to Financing

The framework above can extend existing displacement analysis into fiscal and institutional diagnosis without creating a separate analytical architecture. A starting point is the public or protection function affected by displacement—for example health, education, documentation, social protection, housing, municipal services or infrastructure—and how displacement changes demand, access or expenditure across populations and jurisdictions. Analysis can then trace how that function is governed and financed in practice. Formal mandates may differ from where decisions are made, services delivered or costs borne: central authorities may retain legal responsibility while local governments carry expenditure, humanitarian actors may finance or deliver services, and communities or non-governmental providers may perform functions that formal institutional maps overlook. Protection, political economy, administrative capacity, legitimacy and territorial reach further shape which arrangements are feasible.

Tracing responsibility and expenditure can then identify the constraint financing needs to address: insufficient fiscal capacity; resources that do not reach the responsible institution or jurisdiction; eligibility, portability or administrative barriers; exposure to future

shocks; or recurrent expenditure without a credible financing pathway. Several constraints may coexist or change over time. The four functions—release, preserve, adapt and sustain—provide a basis for determining what finance needs to accomplish before selecting its modality, terms, institutional destination and timing.

This sequence matters because plausible financing responses can address the wrong constraint. Sector investment may expand capacity without removing an eligibility barrier; concessional resources at central level may have limited effect where fiscal pressure is concentrated in receiving municipalities; contingent finance may protect against volatility without resolving a predictable recurrent shortfall; and institutional reform may improve access without addressing insufficient fiscal capacity. Diagnosis therefore establishes the relationship between the displacement-related governance problem and the financing response, including the level at which finance needs to operate and whether several financing channels are required.

The objective is to make displacement a fiscal and institutional planning variable within ordinary development analysis rather than create a parallel framework. Public-finance reviews, country diagnostics and strategies, fragility and resilience assessments, sector analysis and related programming processes across multilateral and development finance institutions provide potential entry points. The same logic applies to results: financing volume, project closure or formal policy adoption provide only partial measures if the underlying constraint remains unchanged. Relevant results concern whether access improves, institutions can perform the required function, fiscal arrangements remain viable as conditions change, and protection and accountability safeguards continue to operate.

A Displacement Financing Diagnostic could develop this framework into a systematic

method at country, sector or subnational level. It could map actual rather than formal responsibility and expenditure; distinguish capital, transitional, recurrent and contingent costs; examine public financial management and intergovernmental transfers; identify political-economy and institutional constraints; and assess combinations of domestic and international finance under different displacement scenarios. Its purpose would be not to create a separate displacement-financing architecture, but to provide a structured pathway from displacement-related pressures to the policy, institutional and financing choices available through ordinary development systems.

Public Finance within a Wider Financing Architecture

Public finance remains the analytical anchor for financing displacement governance because sustainable inclusion depends on the institutions and fiscal arrangements through which public functions are delivered. It is not, however, the boundary of the financing architecture. Humanitarian grants, development and climate finance, concessional resources and, for some activities, private capital may all support those functions. Fiscal integration should therefore not be equated with the progressive domesticization of displacement-related costs: ordinary public systems may deliver a function while international resources continue to share its financing.

Capital-market and blended-finance mechanisms can contribute where they address a diagnosed financing constraint. Sovereign refinancing, debt conversions, guarantees and credit enhancement can create fiscal space or redistribute risk, including by improving sovereign access to capital markets and mobilizing private finance ([IDB, 2026](#)). Their relevance lies not in their novelty or association with displacement, but in whether they create fiscal capacity where needed, support the

required institutional change, or provide a credible pathway for recurrent obligations.

Private, sustainable and impact finance require a more specific test. Housing, infrastructure, livelihoods or financial services associated with displacement may contain investable components where the underlying economics support them, but displacement does not itself create an investable proposition, nor does an ESG or social-finance label make a public obligation commercially financeable. The relevant questions are whether there is a viable revenue or savings model, how risk and cost are allocated, and whether affordability, accountability and protection outcomes are preserved ([OECD, 2025](#)).

Climate displacement illustrates how these sources may operate together. Planned relocation may combine grants or concessional finance for public-good functions, public investment in infrastructure, fiscal transfers to receiving jurisdictions and recurrent financing for services, while selected infrastructure or economic components may support blended or private investment. The financing architecture follows from the characteristics of the functions, expenditure and risks involved, rather than from assigning displacement to a single financing category.

The objective is therefore not to define a new category of “displacement finance,” but to understand how displacement-related functions, expenditure and risk interact with public budgets, sovereign finance, international resources and potentially investable activities. The diagnosis determines where different sources can contribute and how they should be combined.

Conclusion

The first five *Governing Displacement* briefs develop a progression from governance diagnosis to institutional and fiscal response. The displacement continuum identified

categorical, territorial and temporal fault lines; sustainable inclusion examined how displacement-related functions might be embedded within ordinary institutions; and subsequent briefs explored the implications for development finance, adaptive social protection and fiscal architecture. This brief extends that progression to the financing requirements of sustainable inclusion.

Its central proposition is that financing choices should follow from fiscal and institutional diagnosis. Examining how displacement affects public functions, institutional responsibilities, expenditure and fiscal risk can reveal different constraints, requiring finance to perform different functions: releasing fiscal space, preserving fiscal space, adapting institutions and systems, or sustaining displacement-related functions over time. These functions are not a fixed taxonomy or substitute for existing financing instruments, but a way of determining what finance needs to accomplish before deciding how it should be provided.

This provides a bridge between displacement-related fiscal and institutional requirements and ordinary country, sector and public-finance processes. It does not require a separate category or architecture of “displacement

finance”: domestic budgets, development and humanitarian finance, climate and disaster finance and, where appropriate, private capital can contribute in different combinations according to the functions, expenditure and risks involved. Nor does integration into ordinary public systems imply that the associated fiscal burden should ultimately become wholly domestic.

A Displacement Financing Diagnostic could translate this framework into a systematic pathway from diagnosis to financing design, mapping where functions, responsibilities and expenditure actually sit; identifying the fiscal and institutional constraints shaping the response; and translating them into choices about financing functions, modalities, terms, institutional destination, timing and results. The broader objective is to make displacement a fiscal and institutional planning variable within the systems through which governments and development institutions already make decisions—shifting the financing question from how to mobilize resources for displacement to how financing can sustain public functions as people move and displacement persists over time.

KEY MESSAGES

Sustainable inclusion has financing requirements, not simply funding needs. Displacement changes public functions, institutional responsibilities, expenditure and fiscal risk. Understanding those effects is necessary to determine what finance needs to accomplish.

Fiscal and institutional diagnosis should precede financing design. Similar apparent funding needs can reflect different constraints: insufficient fiscal capacity, resources that do not reach the responsible institution or jurisdiction, institutional rules that restrict access, exposure to future shocks, or recurrent expenditure without a credible financing pathway.

Four recurring functions distinguish what finance may need to accomplish: releasing fiscal space, preserving fiscal space, adapting institutions and systems, and sustaining displacement-related functions over time. Several may be required within the same response, and none maps automatically to a particular financing instrument.

Financing instruments should follow from the diagnosed constraint rather than drive the response. Investment, policy-based, results-based and contingent finance, concessional resources and

other mechanisms can perform different functions depending on the expenditure, risk and institutional setting.

Fiscal integration does not require fiscal domesticization. Displacement-related functions may be delivered through ordinary public systems while development, humanitarian, climate or other international resources continue to share their financing. Public finance is the analytical anchor, but not the boundary of the wider financing architecture.

A Displacement Financing Diagnostic could translate this framework into financing design. Applied at country, sector or subnational level, it could map actual responsibilities and expenditure, identify fiscal and institutional constraints, and translate them into financing functions, modalities, terms, institutional destination, timing and results.

Priority Actions

For multilateral development banks and other development finance institutions: Integrate fiscal and institutional diagnosis into country, sector and public-finance analysis. Identify how displacement affects public functions, expenditure, institutional responsibilities and fiscal risk before determining financing functions, modalities and terms.

For public-finance and intergovernmental-finance work: Trace where displacement-related expenditure and fiscal pressure actually fall. Assess whether budgets and transfers adjust to population movement and service demand, distinguishing national fiscal constraints from those affecting particular sectors, institutions and jurisdictions.

For governments and partners pursuing inclusion through national systems: Address institutional constraints alongside fiscal capacity. Financing should support not only system capacity but also changes to eligibility, documentation, portability, administrative systems and mandates where these constrain sustainable inclusion.

For climate and disaster-displacement finance: Extend financing analysis beyond the initial intervention to its fiscal and institutional consequences. Planned relocation and other

measures should account for receiving-area finance, recurrent services, intergovernmental transfers, institutional adaptation and future shocks, while distinguishing public-system delivery from responsibility for financing.

For humanitarian and development actors: Plan transitions around sustainable public functions rather than institutional handover alone. Delivery may shift towards national or local systems while international financing continues; humanitarian or other non-state delivery may remain necessary while protection, access, capacity or territorial constraints persist.

For capital-market, blended and sustainable-finance approaches: Assess mechanisms against the constraint they are intended to address. Debt conversions, guarantees and other structures should demonstrate how they create fiscal space, manage risk or support institutional change; private finance should be used where the underlying activity supports a viable investment proposition.

Develop and test a Displacement Financing Diagnostic: Apply the framework at country, sector or subnational level to map actual responsibilities and expenditure, identify fiscal and institutional constraints, and translate them into financing functions, modalities, terms, institutional destination, timing and results.

About the Author

Samuel Cheung is Founder and Director of Displacement Policy. He previously served in senior UNHCR roles including Chief of Protection from Violence and Displacement, Chief of Internal Displacement and Global Protection Cluster Coordinator, leading protection operations across more than thirty humanitarian crises worldwide. Before joining the United Nations, he advised Asian sovereigns on bond programs and structured finance at Allen & Overy LLP in Hong Kong. He holds a JD from Georgetown University and a BA in Public Policy from Duke University. The argument developed across the series—that displacement requires governance systems capable of responding across institutional and fiscal boundaries—reflects that convergence.